



Rating
Buy

Asia
China

Industrials
Manufacturing

Company
Inovance

Reuters
300124.SZ

Bloomberg
300124 CH

Exchange
SHZ

Ticker
300124

Date
29 April 2026

Forecast Change

Price at 28 Apr 2026 (CNY)	61.36
Price target - 12mth (CNY)	84.00
52-week range (CNY)	88.91 - 61.36
Shanghai Shenzhen CSI 300 Index	4,758

Soft 1Q26 dragged by NEV but Automation solid; 2Q26E could improve

Inovance reported 2025 and 1Q26 results in the evening of 27 April 2026 and hosted an analyst presentation on 28 April. The company has adjusted its segment disclosure and we have made corresponding adjustments in our model.

The -23% YoY net profit decline in 1Q26 is disappointing, dragged down predominantly by the NEV business. That said, this well-anticipated negative event has now passed. We reiterate our BUY recommendation and highlight positive drivers, including: (1) potential acceleration of Automation revenue in 2Q26E thanks to robust market momentum and expanded capacity — 1Q26 revenue was constrained by production, and April orders remained strong; (2) Inovance has increased prices for Automation products and is working to pass on cost inflation for its NEV business, which bodes well for profitability in the upcoming quarters; (3) Inovance has received nominations to supply components to Chinese humanoid robot makers and plans to launch wheeled humanoid robots in August; and (4) new businesses such as digital energy, AI data center products, and AI solutions are in early stages but offer long-term growth potential. We have cut our estimates. Our target price is RMB84.

Disappointing 1Q26 dragged down by the NEV business; Core profit better than it appeared

In 2025, Inovance delivered revenue of RMB45.1bn (+22% YoY) and net profit of RMB5.05bn (+18% YoY; 11.2% NPM). The results are **in line with the ranges of the profit alert** provided in February. Both revenue and net profit reached a record high level, although profitability was still well below historic peak levels. By segment, NEV sales grew +26% YoY, Automation +23% YoY and Elevator +6% YoY.

In 1Q26, Inovance printed revenue of RMB10.1bn (+13% YoY) and net profit of RMB1bn (-23% YoY; 10% NPM). By segment, NEV sales grew +12% YoY, Automation +14% YoY and Elevator +8% YoY.

We consider **1Q26 net profit disappointing**. However, we calculate the core profit (i.e. excluding NEV business) has demonstrated resilience and was better than it appeared — refer to [Figure 1](#) for detailed 2025 and 1Q26 results.

Positive surprises are:

Valuation & Risks

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Key changes

TP	83.90 to 84.00	↑	0.1%
Sales (FYE)	54,709 to 53,782	↓	-1.7%
Op prof margin (FYE)	11.0 to 11.6	↑	4.7%
Net profit (FYE)	6,201.4 to 5,706.9	↓	-8.0%

Source: Deutsche Bank

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-10.5	-19.7	-4.7
Shanghai Shenzhen CSI 300 Index	5.7	0.9	25.8

Source: Deutsche Bank

Deutsche Bank AG/Hong Kong

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- **GPM of Industrial Automation and Digitalization business improved** 1.7ppt YoY to 40.3% in 2025;
- **NPM of core profit** (i.e. excluding NEV business) **slightly improved by +30bps YoY in 2025** to 16.5%, per our calculation. In 1Q26, it was weighed by FX loss and asset impairment totalled ~RMB300mn.
- **Automation business grew healthily** with sales up +23% YoY in 2025 and +14% in 1Q26 (impacted by production constrain) thanks to robust orders;
- **Elevator business returned to positive growth** of +6% in 2025 and +8% in 1Q26 thanks to rising penetration by Inovance into both local and overseas elevator OEMs and the increase in aftermarket.

Negative surprises are:

- 2025 net profit of RMB5.05bn **fell short of the long-term incentive program threshold** of RMB5.2bn. Inovance has missed the program threshold for three times in a row since 2023;
- **1Q26 net profit decline of 23% YoY/ RMB309mn was worse than expected.** The decline was **almost entirely due to the NEV business** as we calculate the NEV business contribution to Inovance's group declined RMB270mn YoY in 1Q26 with merely 1.1% NPM;
- **Operating profit declined 64% YoY** to RMB94mn in 1Q26 on strategic inventory stock-up.

Outlook: Target 10-30% YoY revenue and net profit growth for 2026E, despite the profit decline in 1Q26; GPM could improve

For **2026E**, Inovance targets **10-30% YoY growth** for revenue and net profit. Management reassured that the targets have taken into consideration the challenges of the NEV business. Given the profit decline in 1Q26, this suggests strong profit growth in the reminder 9M of the year.

For **2Q26E**, management guides for GPM to improve as Inovance raises prices for automation products. The NEV business is also trying to pass on cost inflation, although this comes with a lag. For revenue, management guides for higher revenue for the Automation business in 2Q26E on expanded production capacity.

We forecast group revenue of RMB53.8bn (+19% YoY), and net profit of RMB5.7bn (+13% YoY; 10.6% NPM) for 2026E.

Automation: Solid order momentum continued in April; 2Q26E to pick up as 1Q26 affected by production constraints

Automation orders grew strongly by +40% YoY in 1Q26 for Inovance driven by broad-based end-market growth, led by battery, smart phone, machine tool, HVAC, automotive, construction machinery and electronics. Management pointed to **continued solid momentum in April** and believes market demand should be **stronger in 2026E than in 2025**. Out of the 40% order growth, management estimates 10% was driven by stock-up by distributors, with the majority of the growth still driven by underlying solid market demand.

Automation revenue growth of +14% YoY in 1Q26 was **affected by production constraints**. Inovance is increasing capacity and targets **+30% higher production in May and June**. Management therefore **expects robust revenue delivery in 2Q26E**. Refer to [Figure 5](#) for Inovance's automation orders vs revenue growth history.



Inovance has issued **price increase** letters twice YTD, one in January and one in March. Management believes Inovance has decent pricing power for a majority of customers. The higher memory price affects mainly PLCs. Management hears that **some PLC models from certain international brands have run out of stock**.

Comments about the solid China automation market momentum and price increases are consistent with our channel checks ([link to our China Automation Market monthly channel check report](#)).

We forecast +25% revenue growth YoY in the Automation business and GPM of 44%, up ~50bps YoY in 2026E. We forecast revenue growth to accelerate to 30% YoY for 2Q26E from +14% in 1Q26.

Humanoid robot: Nomination received from domestic OEMs to supply components; To launch wheeled robots in August

Inovance's product portfolio for humanoid robots include frameless motors, drives, encoders, screws, linear and rotary actuators and seven degrees of freedom robot arms.

For the components, Inovance has **received nominations from local humanoid robot makers** and are developing customised products for them. For robot arms, Inovance is able to mass produce these and is confident about the quality as the arms are equipped with liquid cooling and suitable **for industrial use**.

Inovance plans **to launch wheeled robots for industrial application in August** to address simple tasks such as handling, gripping, unpacking, door closing, and plugging and unplugging. Inovance targets to deploy them **in its own and customers' factories**.

Inovance is working with partners and **supplies components and data**. Inovance utilises existing large models rather than developing them itself.

As China's largest automation component manufacturer and China's top-four industrial robot maker with a comprehensive product portfolio, we think Inovance is well-positioned to become a prominent supplier for humanoid and AI robots in China over time.

NEV: Profit hit by cost inflation; Orders still strong; 2Q26E guided to be better than 1Q26

The NEV business disappointed the market in 1Q26 — **NPM margin dropped to 1.1% in 1Q26**, representing the lowest NPM since 2023. This was due to the **higher cost** of copper, aluminum and rare earths which account for a relatively high portion of the COGS. Cost increases have exceeded the locked-in prices and hedging agreements. Furthermore, competition, product mix and R&D on new products also weighed on profits.

Management flagged **strong orders**, despite the slow sales in 1Q26. In 1Q26, Inovance secured multiple new project nominations from domestic and international OEMs for motors, electronic controls, power supplies, and assembly products (overseas projects being global platform projects). Additionally, the 800V active suspension product for a domestic OEM will enter the SOP (start of production) stage soon.

Management remains confident about the long-term growth opportunities from



intelligent chassis (suspension and stabilizer bar) and the expansion into overseas OEMs. Management guides for **a better 2Q26E than 1Q26**.

Refer to [Figure 11](#) for detailed financials of Inovance Automotive (NEV) business.

We forecast +18% revenue growth YoY for the NEV business and GPM of 14%, down ~2ppts YoY in 2026E.

AI: Integrating AI with Inovance's industrial know-how

Inovance completed the development of "**Inovance Industrial Intelligent Brain (iFG)**" platform in 1H25. iFG integrates data, models and agents. Inovance targets to implement AI from the below perspectives:

- Applying iFG on existing software and hardware offerings (CNC, PLC, HMI, etc.) to conduct intelligent Q&A, code generation and intelligent interaction;
- Empowering discrete automation customers with agents;
- Providing AI edge all-in-one machine for diagnosis, prediction maintenance, and efficiency improvement.

Management did not provide long-term targets but expects revenue from AI to double its current software revenue in 3-5 years.

We feel that it is still early days for Inovance to promote its AI solutions. In contrast, we think its peer **Supcon** started the AI initiatives much earlier and has a clearer path towards monetisation — Supcon targets RMB800mn-1bn revenue from Industrial AI in 2026E. We believe Inovance should benefit from the industrial data it possesses and its industrial know-how to link AI with the physical world. We therefore will monitor its progress closely.

Digital energy: A top five supplier for medium- to high-power PCS globally

Inovance supplies power conversion system (PCS). In 2025, Inovance generated RMB500mn revenue from the PCS business. Frost & Sullivan reckons Inovance is **the fifth largest supplier for medium- to high-power PCS globally** by shipment volume in 2025 with **a market share of 7%**. The company announced on 17 November that it has commissioned a new plant for PCS in Xi'an. The designed capacity is 50GW and could contribute RMB10bn to revenue. Additionally, Inovance has the capability for energy management for commercial and industrial customers.

For energy storage, Inovance shipped 10GW and over 1GWh storage in 2025. It has established model points in 20+ countries in 2025 and plans to further expand the business.

AI Data Centre: Supplying PSU, and developing SST

Inovance already supplies power supply units (PSU) for data centres. It is also forming up a team to develop solid-state transformer (SST). Management also sees opportunities in energy management considering its leading place in inverters.

HK listing in progress

Inovance disclosed its prospectus for the HK listing on 28 April. [News](#) reports that the company is **looking to raise US\$2bn**. Management describe the purpose of the



listing as (1) to establish Inovance's brand overseas and (2) fund potential overseas acquisitions.

Cut estimates; Target price at RMB84

We **cut our 2026/27 net profit** forecasts by -8%/ -4%, respectively. We introduce new 2028 forecasts.

We slightly adjust our DCF-derived **target price to RMB84 from RMB83.9** as the lower estimates are offset by us rolling forward the valuation by 3M. Our target price of RMB84 is made up of (1) RMB80.2 (from RMB80) per share, based on a three-stage DCF of the underlying business, and (2) RMB3.8 (from RMB3.9) per share from humanoid robot contribution totalling ~RMB10bn. We use a terminal growth rate of 3.5% given the structural growth in the automation and NEV market. We use a risk-free rate of 1.8%, an equity risk premium of 5%, and a beta of 1.2 to derive our WACC of 7.7%.

Inovance is trading on **2026E P/E of 32.1x and 2027E P/E of 25.9x**, below its **average long-term one-year-forward P/E of 34.3x**.

Downside risks include: 1) slow automation market growth; 2) lack of share gain of Inovance for the automation business; 3) severe pricing pressure weighing on margins; and (4) a slow NEV market and the resultant pressure on its automotive sales and profitability.



Figure 1: Inovance's net profit declined in 1Q26, weighed predominantly by the NEV business on cost inflation; FX loss and asset impairment dragged non-NEV business

(Rmb' mn)	1Q24	2Q24	1H24	3Q24	4Q24	2H24	2024	1Q25	2Q25	1H25	3Q25	4Q25	2H25	2025	1Q26
General servo	1,300	1,700	3,000	1,300	1,300	2,600	5,600	1,720	1,980	3,700	1,640	1,510	3,150	6,850	2,096
YoY	3%	4%	4%	-15%	-18%	-16%	-7%	32%	16%	23%	26%	16%	21%	22%	22%
General inverter	900	1,600	2,500	1,200	1,500	2,700	5,200	1,280	1,420	2,700	1,350	1,650	3,000	5,700	1,242
YoY	2%	20%	13%	-2%	-15%	-9%	0%	42%	-11%	8%	13%	10%	11%	10%	-3%
PLC&HMI	300	390	690	310	300	610	1,300	420	480	900	390	510	900	1,800	535
YoY	-12%	-12%	-12%	-25%	-26%	-25%	-19%	40%	23%	30%	26%	70%	48%	38%	27%
General Automation	2,868	3,922	6,790	3,090	3,860	6,950	13,740	3,756	4,269	8,025	3,895	4,980	8,875	16,900	4,252
YoY	11%	3%	6%	-9%	-7%	-8%	-1%	31%	9%	18%	26%	29%	28%	23%	14%
%	44%	40%	42%	34%	33%	33%	37%	42%	37%	39%	35%	37%	36%	37%	42%
Elevator Parts	900	1,431	2,331	1,269	1,300	2,569	4,900	960	1,347	2,307	1,293	1,600	2,893	5,200	1,031
YoY	-2%	-1%	-2%	-14%	-10%	-12%	-8%	7%	-6%	-1%	2%	23%	13%	6%	8%
%	14%	15%	14%	14%	11%	12%	13%	11%	12%	11%	12%	12%	12%	12%	10%
Industrial Automation and Digitalization	3,768	5,353	9,121	4,359	5,160	9,519	18,727	4,716	5,616	10,332	5,188	6,580	11,768	22,245	5,311
YoY	7%	2%	4%	-11%	-8%	-9%	-3%	25%	5%	13%	19%	28%	24%	19%	13%
%	58%	55%	56%	47%	44%	46%	51%	53%	49%	50%	47%	49%	48%	49%	52%
NEV Powertrain Systems	2,300	3,700	6,000	4,400	5,680	10,080	16,080	3,783	5,217	9,000	5,400	5,923	11,323	20,323	4,237
YoY	154%	79%	102%	91%	39%	58%	72%	64%	41%	50%	23%	4%	12%	26%	12%
%	35%	38%	37%	48%	49%	48%	43%	42%	45%	44%	48%	44%	46%	45%	42%
Emerging Industries							1,550	370						1,795	489
YoY							52%	4%						16%	32%
%							4%							4%	5%
Revenue	6,492	9,691	16,183	9,214	11,644	20,858	37,041	8,978	11,531	20,509	11,153	13,442	24,596	46,105	10,143
Revenue YoY%	36%	26%	30%	20%	13%	16%	22%	38%	19%	27%	21%	15%	18%	22%	13%
Industrial Automation and Digitalization			3,627			3,606	7,232			4,134			4,825	8,959	
Gross margin			39.8%			37.9%	38.6%			40.0%			41.0%	40.3%	
NEV Powertrain Systems			929			1,704	2,633			1,506			1,766	3,272	561
Gross margin			15.5%			16.9%	16.4%			16.7%			15.6%	16.1%	13.2%
Emerging business						493								509	
Gross margin						31.8%								28.3%	
Gross profit	2,249	2,893	5,142	2,736	2,754	5,490	10,632	2,782	3,418	6,199	3,068	3,793	6,861	13,060	2,949
Gross margin	34.6%	29.9%	31.8%	29.7%	23.7%	26.3%	28.7%	31.0%	29.6%	30.2%	27.5%	28.2%	27.9%	29.0%	29.1%
Gross profit YoY	29%	4%	14%	2%	-8%	-4%	4%	24%	18%	21%	12%	38%	25%	23%	6%
Selling expense	(423)	(440)	(862)	(482)	(137)	(619)	(1,481)	(326)	(348)	(674)	(372)	(489)	(862)	(1,536)	(315)
Selling exp as % of sales	6.5%	4.5%	5.3%	5.2%	1.2%	3.0%	4.0%	3.6%	3.0%	3.3%	3.3%	3.6%	3.5%	3.4%	3.1%
Selling exp YoY	30%	3%	15%	21%	-83%	-48%	-24%	-23%	-21%	-22%	-23%	258%	39%	4%	-3%
Admin expense	(338)	(363)	(701)	(374)	(466)	(840)	(1,541)	(402)	(428)	(830)	(432)	(563)	(995)	(1,825)	(465)
Admin exp as % of sales	5.2%	3.7%	4.3%	4.1%	4.0%	4.0%	4.2%	4.5%	3.7%	4.0%	3.9%	4.2%	4.0%	4.0%	4.6%
Admin exp YoY	17%	16%	17%	21%	20%	20%	19%	19%	18%	18%	15%	21%	18%	18%	16%
R&D expense	(786)	(687)	(1,473)	(733)	(941)	(1,674)	(3,147)	(890)	(1,076)	(1,966)	(1,028)	(1,262)	(2,290)	(4,256)	(1,007)
R&D exp as % of sales	12.1%	7.1%	9.1%	8.0%	8.1%	8.0%	8.5%	9.9%	9.3%	9.6%	9.2%	9.4%	9.3%	9.4%	9.9%
R&D exp YoY	26%	3%	14%	0%	59%	26%	20%	13%	57%	33%	40%	34%	37%	35%	13%
Others	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Operating income (reported)	824	1,433	2,257	1,395	974	2,369	4,826	1,421	1,776	3,197	1,275	964	2,239	5,436	1,069
Operating margin (reported)	12.7%	14.8%	13.9%	15.1%	8.4%	11.4%	12.5%	15.8%	15.4%	15.6%	11.4%	7.2%	9.1%	12.1%	10.5%
Operating income (reported) yoy	13%	4%	7%	7%	-39%	-18%	-7%	72%	24%	42%	-9%	-1%	-6%	18%	-25%
Net profit	811	1,307	2,118	1,236	932	2,167	4,286	1,323	1,646	2,968	1,286	796	2,082	5,060	1,013
Net margin (reported)	12.5%	13.5%	13.1%	13.4%	8.0%	10.4%	11.6%	14.7%	14.3%	14.5%	11.5%	5.9%	8.5%	11.2%	10.0%
Net profit YoY%	9%	-2%	2%	-1%	-35%	-19%	-10%	63%	26%	40%	4%	-15%	-4%	18%	-23%
Non-recurring item	20	30	50	170	31	200	250	89	208	297	69	(266)	(197)	99	(32)
Recurring net profit	792	1,277	2,068	1,066	901	1,967	4,036	1,234	1,438	2,671	1,217	1,062	2,279	4,961	1,046
Recurring net profit margin	12.2%	13.2%	12.8%	11.6%	7.7%	9.4%	10.9%	13.7%	12.5%	13.0%	10.9%	7.9%	9.3%	11.0%	10.3%
Recurring net profit YoY%	27%	3%	11%	-10%	-12%	-11%	-1%	56%	13%	29%	14%	18%	16%	23%	-15%
Net profit - NEV	269	272	344	616	885	310	209	519	230	284	514	1,032	40		
Net margin - NEV	4.7%	6.2%	6.9%	6.2%	5.8%	8.5%	4.2%	6.0%	4.5%	5.5%	4.5%	5.6%	1.1%		
YoY (Net profit - NEV)	0%	0%	0%	0%	259%	0%	0%	93%	-16%	-17%	-17%	17%	-87%		
% of group net profit (Net profit - NEV)	13%	22%	37%	28%	21%	23%	13%	17%	18%	36%	25%	20%	4%		
Net profit - Non-NEV	1,849	964	588	1,552	3,401	1,013	1,437	2,450	1,068	512	1,568	4,018	973		
Net margin - Non-NEV	18.3%	21.2%	9.2%	14.3%	16.2%	19.7%	23.1%	21.6%	18.3%	7.0%	12.0%	16.5%	16.6%		
YoY (Net profit - non-NEV)	0%	0%	0%	0%	-24%	0%	0%	32%	10%	-13%	1%	18%	-4%		
% of group net profit (Net profit - non-NEV)	87%	78%	63%	72%	79%	77%	87%	83%	82%	64%	75%	80%	96%		
Operating Cash Flow	27	1,801	1,828	2,029	3,344	5,373	7,200	263	2,758	3,020	911	2,760	3,661	6,681	94
OCF YoY	-90%	281%	144%	190%	74%	105%	114%	865%	53%	65%	-55%	-18%	-32%	-7%	-64%
OCF as % of net profit	3%	138%	86%	164%	359%	248%	168%	20%	168%	102%	71%	346%	176%	132%	9%

Source : Company data, Deutsche Bank

Figure 2: SOTP valuation suggests the non-NEV business is trading on ~24x 2026E P/E, lower than Inovance's long-term average of 34x

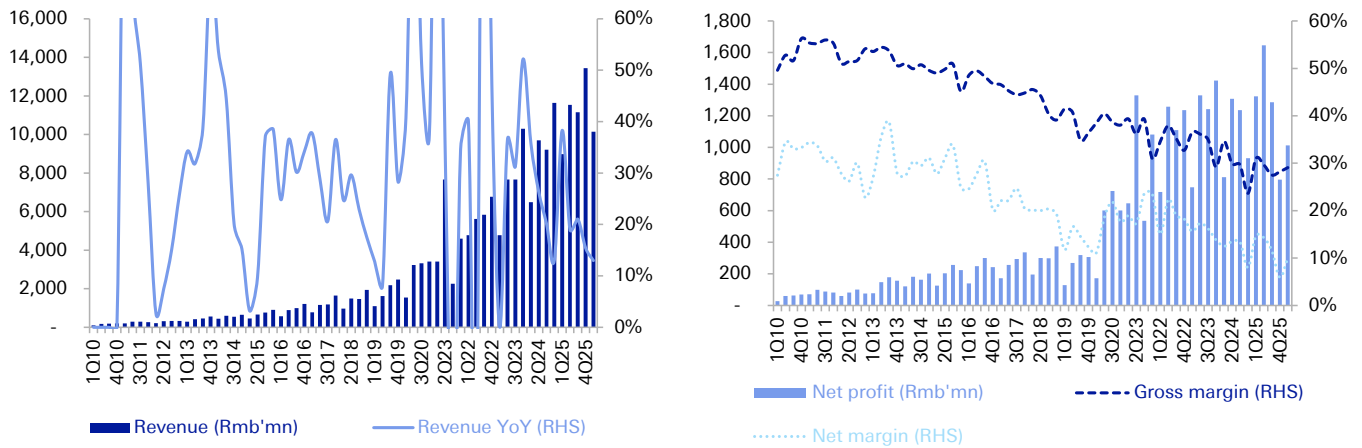
SOTP valuation - Implied valuation for Automation business based on the current market cap of Inovance Automotive

		2026E (RMB mn)						Valuation	% held by	For Inovance	
		Sales	%	Net profit	%	NPM	P/S	P/E	Standalone	Inovance Tech	Tech
Automation and others		29,802	55%	5,215	91%	17.5%	4.3x	24.4x	127,447	100%	127,447
Inovance Automotive (联合动力)		23,981	45%	592	10%	2.5%	1.9x	78.6x	46,509	83%	38,682
Inovance Technology (Group)		53,782	100%	5,707	100%	10.6%	3.1x	29.1x	166,129	100%	166,129

Source : Deutsche Bank estimates

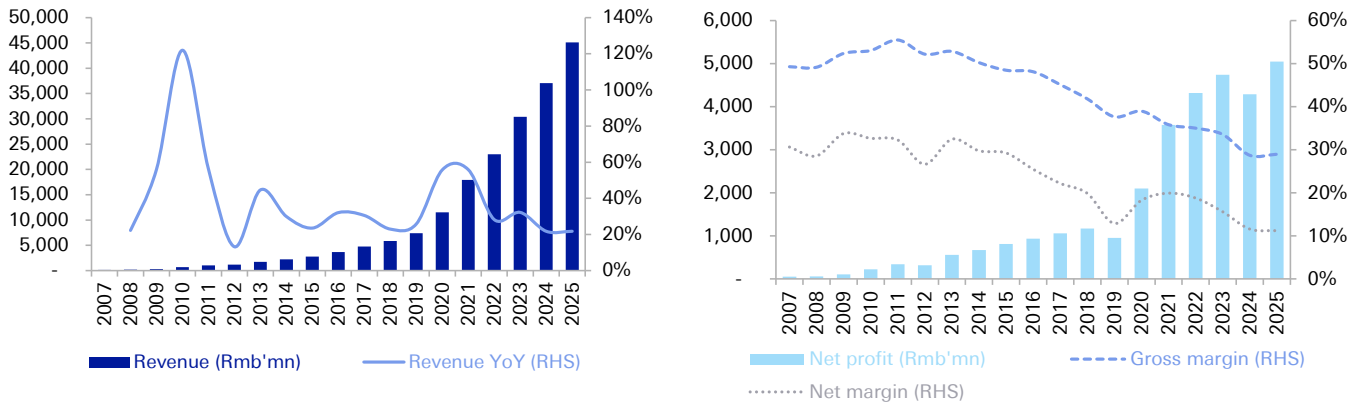


Figure 3: Financials (quarterly): Inovance net profit declined 23% YoY in 1Q26



Source : Company data, Deutsche Bank

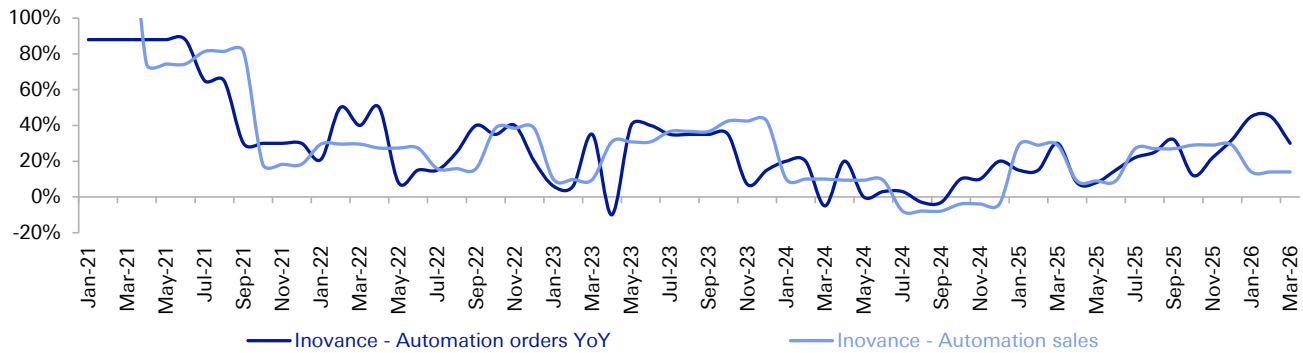
Figure 4: Financials (annual): Net profit reached a record high in 2025, after a decline in 2024



Source : Company data, Deutsche Bank

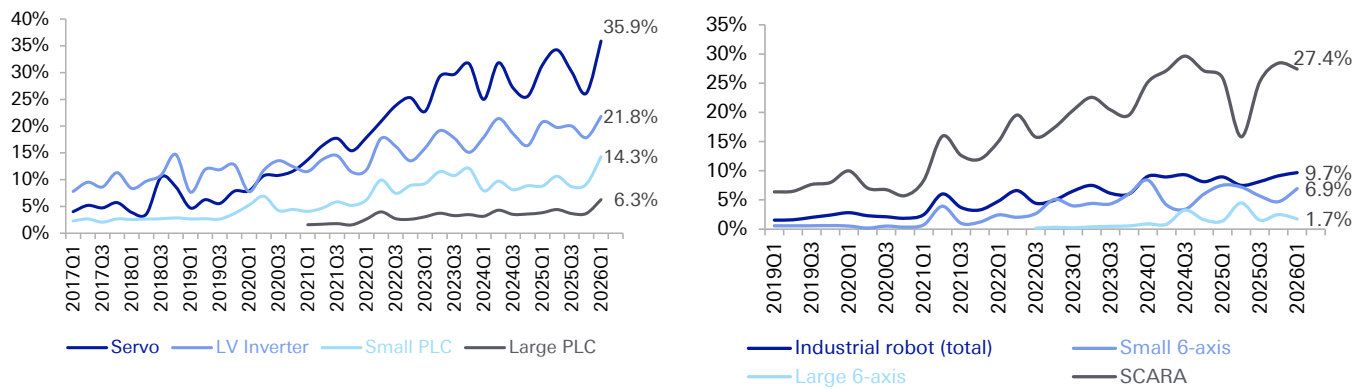


Figure 5: Automation sales growth of +14% YoY in 1Q26 fell short of order growth of +40% due to production constraints; management guided for 2Q26E to improve on expanded capacity



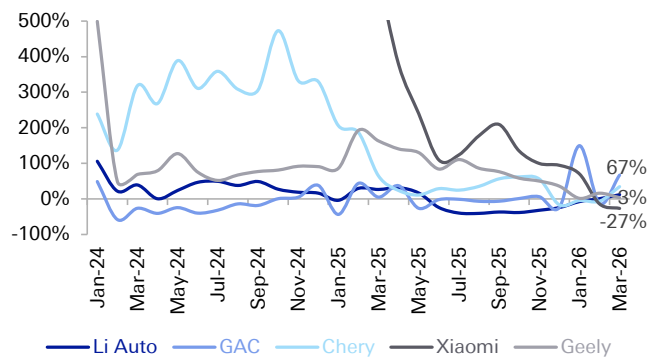
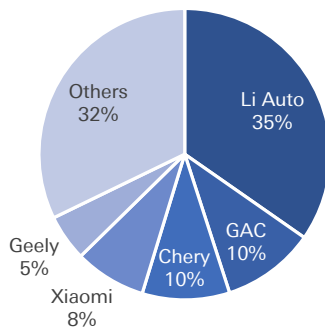
Source : Company data, Deutsche Bank

Figure 6: Inovance's market share in China – share improved qoq for automation products and small 6-axis robots for Inovance in 1Q26, but decreased qoq for large 6-axis robots and SCARA robots



Source : MIR, Deutsche Bank

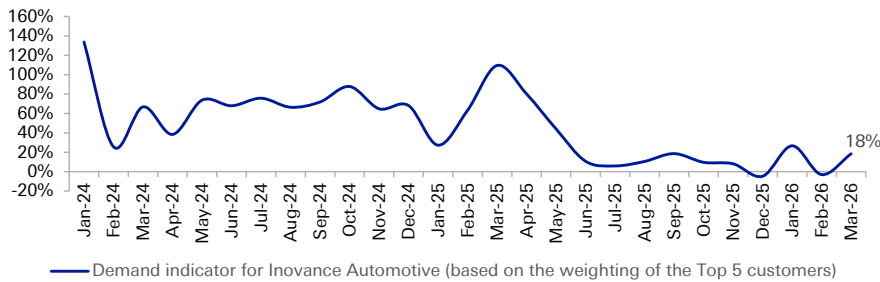
Figure 7: Inovance Automotive: Revenue from top five customers in 2024 (LHS); YoY growth of wholesales NEV unit by brand



Source : Deutsche Bank, company data, ThinkerCar

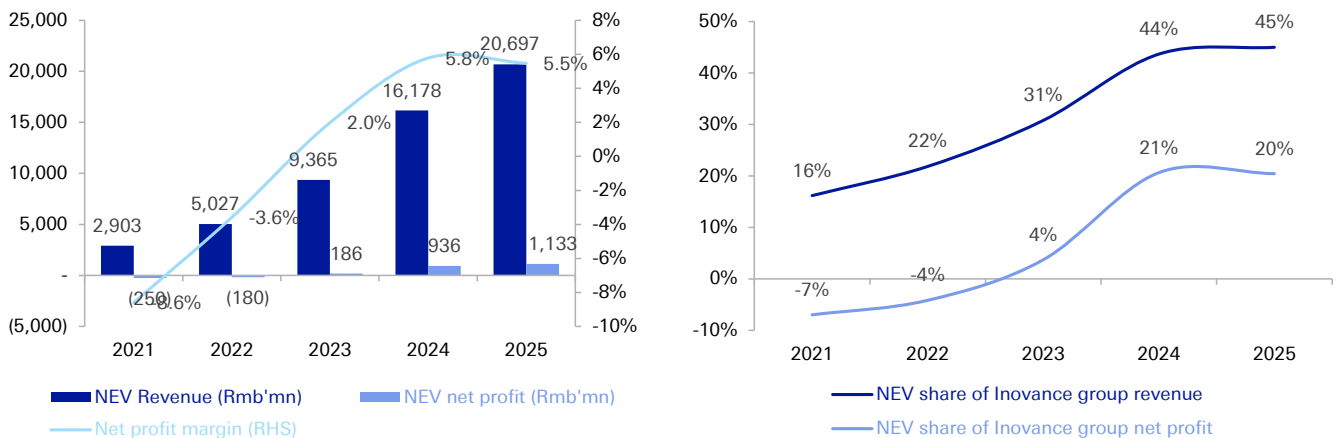


Figure 8: Demand indicator for Inovance Automotive (YoY growth of car wholesale unit)



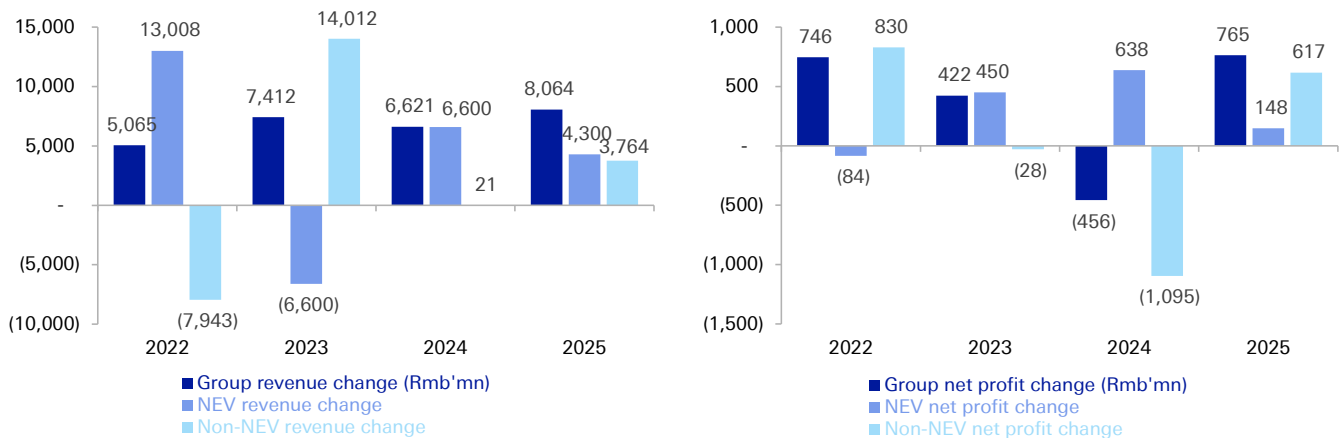
Source : Deutsche Bank, company data, ThinkerCar

Figure 9: NEV accounted for 45% of group sales and 20% of group net profit in 2025



Source : Company data, Deutsche Bank

Figure 10: NEV was the key net profit and revenue contributor in 2023 and 2024 for Inovance group; but was taken over by the core non-NEV business in 2025



Source : Company data, Deutsche Bank

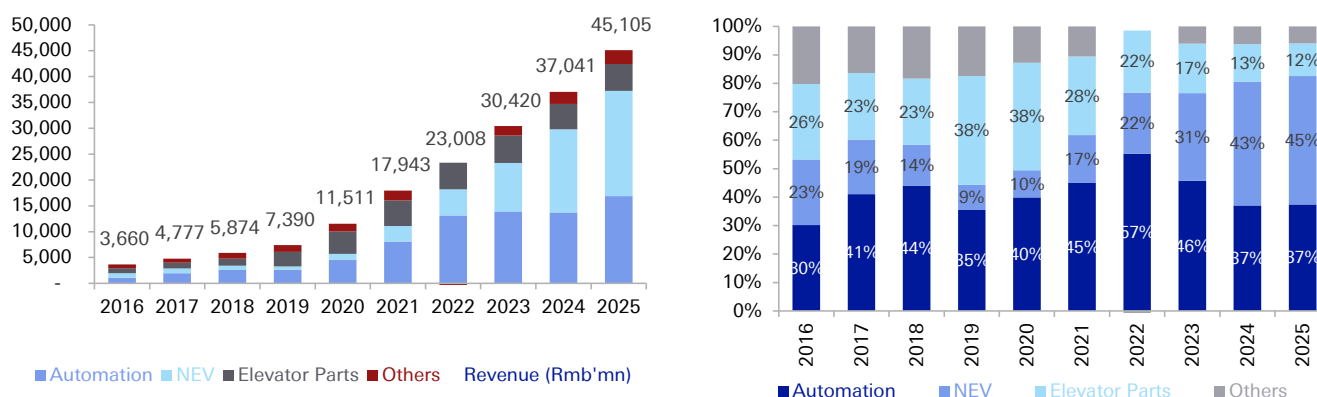


Figure 11: Financial details of the NEV business (Inovance Automotive)

联合动力 Inovance Automotive (in Rmb'mn)	2019	2020	2021	2022	2023	2024	2025	1Q26
Source	Report	Report	Prospectus	Prospectus	Prospectus	Prospectus	Report	Report
Revenue	652	1,102	2,903	5,027	9,365	16,178	20,697	4,279
Revenue yoy	-22.5%	69.0%	163.4%	73.2%	86.3%	72.7%	27.9%	11.2%
COGS			(2,567)	(4,356)	(7,945)	(13,498)	(17,339)	(3,712)
Gross profit			336	671	1,420	2,680	3,358	567
Gross margin			11.6%	13.4%	15.2%	16.6%	16.2%	13.2%
Business tax			(2)	(7)	(21)	(43)	(69)	(10)
VAT as % of sales			0.1%	0.1%	0.2%	0.3%	0.3%	0.2%
Selling expense			(49)	(58)	(79)	(97)	(141)	(28)
Selling exp as % of sales			1.7%	1.2%	0.8%	0.6%	0.7%	0.7%
Selling exp YoY			n/a	20.3%	35.9%	21.7%	46.0%	8.9%
Admin expense			(122)	(163)	(249)	(368)	(500)	(117)
Admin exp as % of sales			4.2%	3.2%	2.7%	2.3%	2.4%	2.7%
Admin exp YoY			n/a	33.9%	52.8%	47.6%	36.0%	9.9%
R&D expense			(392)	(572)	(626)	(908)	(1,338)	(337)
R&D exp as % of sales			13.5%	11.4%	6.7%	5.6%	6.5%	7.9%
R&D exp YoY			n/a	46.0%	9.4%	45.2%	47.3%	24.3%
Finance cost			9	(9)	7	(14)	10	(13)
Asset impairment			(70)	(170)	(431)	(425)	(324)	(87)
Asset impairment as % of sales			2.4%	3.4%	4.6%	2.6%	1.6%	2.0%
Joint venture and asso			-	(4)	1	24	16	3
Other investment income			1	2	10	18	41	12
Fair value changes			0	(5)	7	0	5	5
Other gains and losses			2	28	88	123	96	24
Operating income			(287)	(286)	127	990	1,154	17
Operating margin			-9.9%	-5.7%	1.4%	6.1%	5.6%	0.4%
Operating income yoy			n/a	-0.3%	-144.3%	680.3%	16.6%	-95.0%
Non-operating income			1	7	3	3	2	1
Non-operating expense			(2)	(1)	(7)	(21)	(4)	(1)
Profit before tax			(288)	(280)	122	972	1,153	16
Tax			39	100	64	(36)	(19)	32
Tax rate			13.4%	35.7%	-52.1%	3.7%	1.7%	-195.2%
Net profit	(350)	(250)	(250)	(180)	186	936	1,133	49
Net margin (reported)	-53.7%	-22.7%	-8.6%	-3.6%	2.0%	5.8%	5.5%	1.1%
Net profit yoy			n/a	-27.9%	-203.2%	403.5%	21.1%	-85.2%

Source : Company data, Deutsche Bank

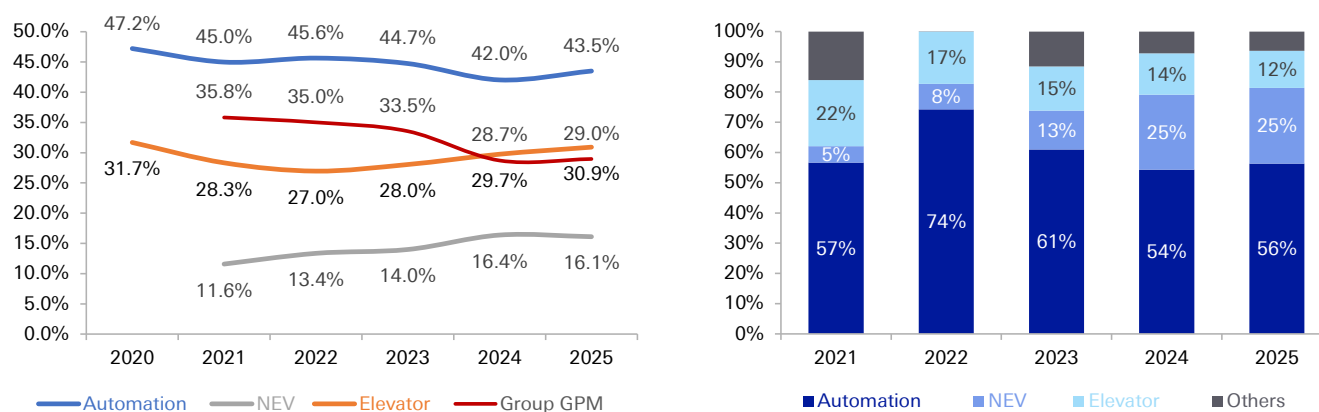
Figure 12: NEV (45% of group sales) was the largest division in 2025, followed by Automation (37%)



Source : Company data, Deutsche Bank

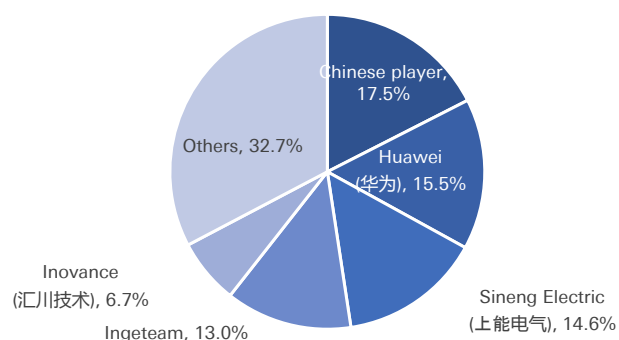


Figure 13: GPM of Automation and Elevator improved in 2025, but that for NEV remained low



Source : Company data, Deutsche Bank

Figure 14: Market share of medium- to high-power PCS by shipment volume globally in 2025



Source : Company data, Frost & Sullivan, Deutsche Bank

Figure 15: Inovance missed the long-term incentive target for net profit throughout 2023-25

Rmb'mn	2022	2023	2024	2025
Net profit:				
Actual result	4,320	4,742	4,285	5,050
yoy growth	19%	16%	12%	11%
Long-term incentive target	4,200	5,050	5,300	5,200
yoy growth	18%	17%	12%	21%
Actual vs LT incentive target	3%	-6%	-19%	-3%

Source : Company data, Deutsche Bank

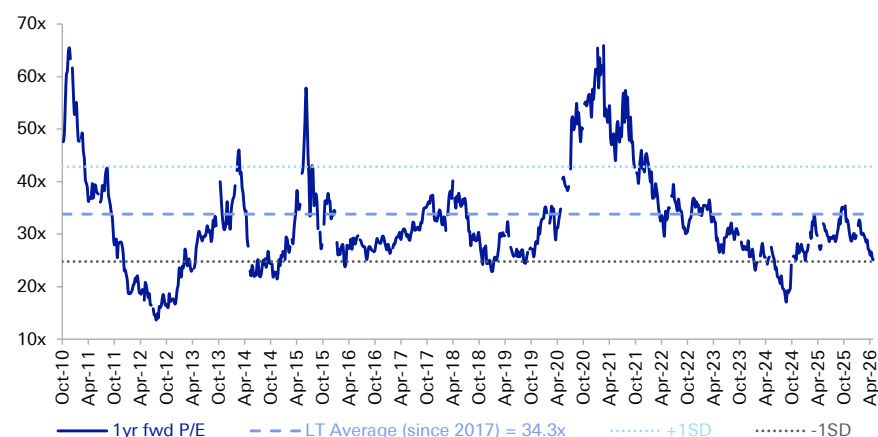


Figure 16: Estimate changes

(in RMB mn)	2025	DBe 2028E	DBe Old est.	New vs Old est.	BBG cons	DBe vs BBG	DBe 2027E	DBe Old est.	New vs Old est.	BBG cons	DBe vs BBG	DBe 2028E	BBG cons	DBe vs BBG
Revenue	45,105	53,782	54,709	-2%	54,536	-1%	63,421	64,229	-1%	63,670	0%	74,591	70,367	6%
Revenue YoY%	21.8%	19.2%	18.8%		20.9%		17.9%	17.4%		16.7%		17.6%	10.5%	
COGS	(32,045)	(38,401)	(39,522)				(45,060)	(46,309)				(52,766)		
Gross profit	13,060	15,381	15,187	1%			18,361	17,920	2%			21,825		
Gross margin	29.0%	28.6%	27.8%				29.0%	27.9%				29.3%		
Selling expense	(1,536)	(1,613)	(1,614)				(1,839)	(1,831)				(2,089)		
Admin expense	(1,825)	(2,154)	(2,164)				(2,541)	(2,554)				(2,999)		
R&D expense	(4,256)	(5,075)	(5,033)				(5,984)	(5,909)				(7,038)		
Finance cost	66	(50)	150				-	150				-		
Asset impairment	(551)	(604)	(657)				(649)	(707)				(688)		
Other income	714	643	766				707	843				778		
Other investment income	212	80	100				88	110				97		
Joint venture and asso	(149)	(164)	308				(181)	339				(199)		
Fair value changes	(29)	-	-				-	-				-		
Operating income (DB)	5,171	6,214	6,375	-3%			7,613	7,627	0%			9,249		
Operating margin (DB)	11.5%	11.6%	11.7%				12.0%	11.9%				12.4%		
Operating income (reported)	5,436	6,119	6,703	-9%			7,579	7,962	-5%			9,237		
Operating margin (reported)	12.1%	11.4%	12.3%				12.0%	12.4%				12.4%		
Non-operating income	50	55	30				61	33				67		
Non-operating expense	(52)	(58)	(52)				(63)	(58)				(70)		
Profit before tax	5,433	6,117	6,680	-8%			7,576	7,937	-5%			9,234		
Tax	(261)	(293)	(234)				(364)	(278)				(443)		
Tax rate	4.8%	4.8%	3.5%				4.8%	3.5%				4.8%		
Minority	(123)	(116)	(245)				(155)	(303)				(202)		
Minority %	2.4%	2.0%	3.8%				2.2%	4.0%				2.3%		
Net profit	5,050	5,707	6,201	-8%	6,394	-11%	7,058	7,357	-4%	7,651	-8%	8,588	8,669	-1%
Net margin (reported)	11.2%	10.6%	11.3%		11.7%		11.1%	11.5%		12.0%		11.5%	12.3%	
Net profit YoY%	17.8%	13.0%	14.9%		26.6%		23.7%	18.6%		19.7%		21.7%	13.3%	
Non-recurring items	99	119	369				140	433				165		
% of net profit	2.0%	2.1%	5.9%				2.0%	5.9%				1.9%		
Recurring net profit	4,951	5,588	5,833	-4%			6,918	6,924	0%			8,424		
Recurring net profit margin	11.0%	10.4%	10.7%				10.9%	10.8%				11.3%		
Reported EPS (Rmb)	1.85	2.11	2.30	-8%	2.40	-12%	2.61	2.73	-5%	2.86	-9%	3.17	3.15	1%
Reported EPS YoY %	15.6%	14.0%	14.9%				23.7%	18.6%				21.7%		
Avg basic no of shares (m)	2,707	2,707	2,692				2,707	2,692				2,707		
DPS (Rmb)	0.50	0.56	0.59	-5%	0.62		0.69	0.70	-1%	0.73		0.84	0.80	
Dividend payout%	26.3%	26.3%	25.5%		25.7%		26.3%	25.5%		25.5%		26.3%	25.3%	

Source : Company data, Deutsche Bank estimates, consensus from Bloomberg Finance LP

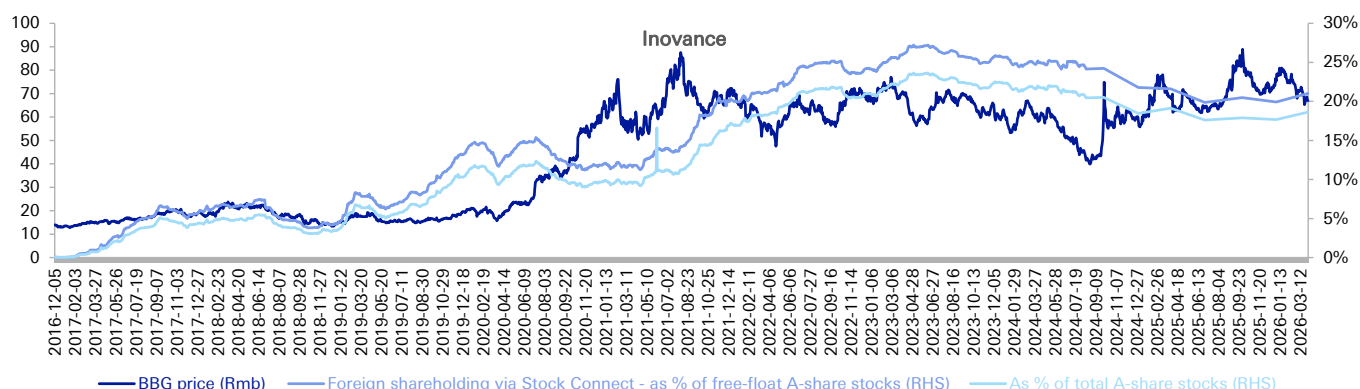
Figure 17: Inovance's historical one-year fwd P/E



Source : Bloomberg Finance LP, Deutsche Bank



Figure 18: Foreign shareholding of Inovance



Source: Deutsche Bank, Wind (as of 31/03/2026)

Links to previous reports:

- **Catalyst road map:** [for next 3M - 22 April 2026](#)
- **China Automation Market Monthly tracker:** [March slowed but 1Q26 overall solid; Price inflating; April growth could accelerate - 20 Apr 2026](#)
- **Humanoid Robots Pulse:** [OpenClaw for robots; US tightening policy; Shape varying \(1Q26 edition\) - 1 Apr 2026](#)
- **Expert call:** [takeaways on SMC and global automation and semis demand - 13 Mar 2026](#)
- **Humanoid Robot (III):** [Six visions for 2026 – Scaling, iterating and diversifying - 6 Mar 2026](#)
- **Foreign shareholding quarterly watch (4Q25):** [A broad-based sequential decline except Hengli - 22 Jan 2026](#)
- **China's 15th Five-Year Plan (I):** [Innovation and self-reliance; Emerging and future industries - 8 Jan 2026](#)
- **Inovance:** [Upgrade to BUY; Opportunities in humanoid robots, energy and digital - 23 Nov 2025](#)
- **Inovance:** [3Q25 profit light; Stronger profit delivery needed to justify upside; Hold - 24 Oct 2025](#)
- **Annual benchmarking of global peers:** [Some hopes and some gaps - 17 Sep 2025](#)
- **Newsletter:** [Tesla Optimus; Unitree IPO; Nvidia and Hon Hai - 12 Sep 2025](#)
- **Inovance:** [A decent 2Q25; Accelerating humanoids and digital offerings; Hold - 26 Aug 2025](#)
- **China Automation Market Quarterly chartbook:** [2Q25 Growth, market share and outlook - 22 Aug 2025](#)
- **US tariffs (IV):** [90-day tariff cut between the US and China - 12 May 2025](#)
- **Inovance:** [Paying for Automation or NEV? Downgrade to Hold - 5 May 2025](#)
- **China Macro:** [The upcoming AI Boom in China - 26 Mar 2025](#)
- **Humanoid Robot (II):** [Go big and go home - 14 Feb 2025](#)
- **Inovance:** [3Q24 in line with pre-release; Automation order at an inflection](#)



[point - 29 Oct 2024](#)

- **Inovance:** [3Q24 profit alert: Soft profit despite decent sales - 21 Oct 2024](#)
- **APAC Automation & Machinery:** [Headwinds persisting; Stay selective \(Slide deck\) - 27 Sep 2024](#)
- **Inovance:** [In-line 2024 results; waiting for potential inflection in 4Q24 - 28 Aug 2024](#)
- **Inovance:** [Muted profit growth in 2024; French software acquisition intriguing – 29 July 2024](#)
- **Inovance:** [Less aggressive 2024 targets; confidence to be tested – 23 Apr 2024](#)
- **China Industrial Automation:** [Our takes on China's "Large-scale Equipment Replacement" policy \(Vol.3\) – 16 Apr 2024](#)
- **APAC Automation & Machinery Initiation:** [Stay selective; Humanoid robots lift growth prospects – 23 July 2024](#)
- **APAC Industrial Automation Initiation:** [Identifying winners amid rising competition from China – 19 Feb 2024](#)

[Forecasts and ratios](#)

Year End Dec 31	2024A	2025A	2026E	2027E	2028E
Sales (CNYm)	37,041.0	45,104.8	53,782.2	63,420.7	74,591.0
EBITDA (CNYm)	5,016.2	6,181.8	7,372.8	9,058.1	11,008.2
Reported NPAT (CNYm)	4,285.5	5,050.0	5,706.9	7,057.6	8,588.4
Reported EPS FD(CNY)	1.59	1.87	2.11	2.61	3.17
DB EPS FD(CNY)	1.59	1.87	2.11	2.61	3.17
OLD DB EPS FD(CNY)	1.59	2.00	2.30	2.73	–
% Change	0.0%	-6.9%	-8.5%	-4.6%	–
DB EPS growth (%)	-10.2	17.2	13.0	23.7	21.7
PER (x)	35.1	37.3	29.1	23.5	19.3
EV/EBITDA (x)	29.5	29.7	21.8	17.6	14.3
DPS (net) (CNY)	0.41	0.50	0.56	0.69	0.84
Yield (net) (%)	0.7	0.7	0.9	1.1	1.4

Source: Deutsche Bank estimates, company data



Model updated: 29 April 2026

Running the numbers

Asia

China

Manufacturing

Inovance

Reuters: 300124.SZ Bloomberg: 300124.CH

Buy

Price (28 Apr 26) CNY 61.36

Target Price CNY 84.00

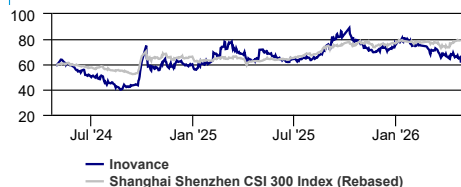
52 Week range CNY 61.36 - 88.91

Market cap (m) CNYm 165,205
USDm 24,165

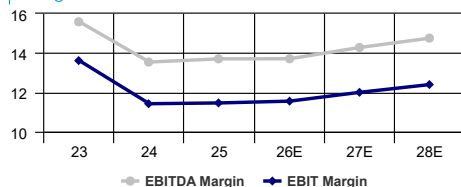
Company Profile

Inovance is split into three key divisions, including Automation (servos, inverters, controllers and robots), Elevator Parts (control solutions for elevators) and New Energy Vehicle & Metro (traction systems). Automation is the largest segment and accounted for 50% of group sales in 2022.

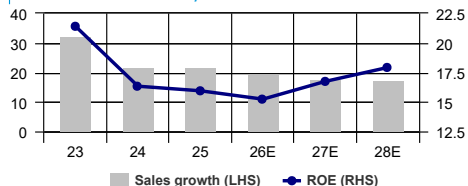
Price Performance



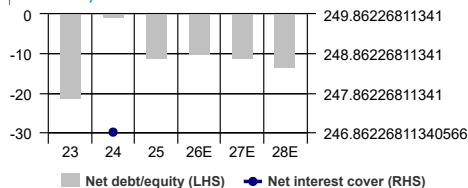
Margin Trends



Growth & Profitability



Solvency



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Fiscal year end 31-Dec

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	1.77	1.59	1.87	2.11	2.61	3.17
Reported EPS (CNY)	1.77	1.59	1.87	2.11	2.61	3.17
DPS (CNY)	0.45	0.41	0.50	0.56	0.69	0.84
BVPS (CNY)	9.1	10.4	13.1	14.6	16.5	18.9
Weighted average shares (m)	2,677	2,692	2,707	2,707	2,707	2,707
Average market cap (CNYm)	176,067	150,343	188,540	165,205	165,205	165,205
Enterprise value (CNYm)	168,789	148,078	183,906	160,731	159,758	157,967

Valuation Metrics

P/E (DB) (x)	37.1	35.1	37.3	29.1	23.5	19.3
P/E (Reported) (x)	37.1	35.1	37.3	29.1	23.5	19.3
P/BV (x)	6.90	5.63	5.77	4.20	3.71	3.25
FCF Yield (%)	1.9	4.8	3.5	3.6	4.8	5.8
Dividend Yield (%)	0.7	0.7	0.7	0.9	1.1	1.4
EV/Sales (x)	5.5	4.0	4.1	3.0	2.5	2.1
EV/EBITDA (x)	35.6	29.5	29.7	21.8	17.6	14.3
EV/EBIT (x)	40.8	35.0	35.6	25.9	21.0	17.1

Income Statement (CNYm)

Sales revenue	30,420	37,041	45,105	53,782	63,421	74,591
Gross profit	10,205	10,632	13,060	15,381	18,361	21,825
EBITDA	4,742	5,016	6,182	7,373	9,058	11,008
Depreciation	600	785	1,011	1,159	1,445	1,760
Amortisation	0	0	0	0	0	0
EBIT	4,142	4,232	5,171	6,214	7,613	9,249
Net interest income/(expense)	-1	-17	-2	-2	-3	-3
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinaries	859	394	265	-95	-34	-12
Other pre-tax income/(expense)	0	0	0	0	0	0
Profit before tax	5,000	4,609	5,433	6,117	7,576	9,234
Income tax expense	225	262	261	293	364	443
Minorities	34	61	123	116	155	202
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	4,742	4,285	5,050	5,707	7,058	8,588
DB adjustments (including dilution)	0	0	0	0	0	0
DB Net profit	4,742	4,285	5,050	5,707	7,058	8,588

Cash Flow (CNYm)

Cash flow from operations	3,370	7,200	6,681	5,963	7,922	9,629
Net Capex	0	0	0	0	0	0
Free cash flow	3,370	7,200	6,681	5,963	7,922	9,629
Equity raised/(bought back)	1,119	600	4,317	0	0	0
Dividends paid	-1,131	-1,335	-1,235	-1,503	-1,859	-2,262
Net inc/(dec) in borrowings	-743	-109	-574	0	0	0
Other investing/financing cash flows	-43	-11,557	-5,143	-4,504	-4,935	-5,374
Net cash flow	2,573	-5,200	4,047	-43	1,128	1,993
Change in working capital	-2,412	1,442	-84	-1,622	-1,385	-1,609

Balance Sheet (CNYm)

Cash and other liquid assets	8,487	3,558	7,033	6,989	8,117	10,110
Tangible fixed assets	4,719	7,041	9,893	12,448	15,125	17,911
Goodwill/intangible assets	2,959	2,961	3,107	3,293	3,457	3,597
Associates/investments	2,459	2,496	2,302	2,302	2,302	2,302
Other assets	30,334	41,122	48,980	55,052	61,108	68,124
Total assets	48,958	57,179	71,314	80,085	90,110	102,045
Interest bearing debt	3,149	3,353	2,919	2,919	2,919	2,919
Other liabilities	20,807	25,396	31,260	35,711	40,382	45,788
Total liabilities	23,957	28,750	34,180	38,630	43,301	48,708
Shareholders' equity	24,482	27,994	35,353	39,557	44,755	51,082
Minorities	519	435	1,782	1,898	2,053	2,256
Total shareholders' equity	25,001	28,429	37,135	41,455	46,809	53,337
Net debt	-5,337	-205	-4,114	-4,070	-5,198	-7,191

Key Company Metrics

Sales growth (%)	32.2	21.8	21.8	19.2	17.9	17.6
DB EPS growth (%)	9.1	-10.2	17.2	13.0	23.7	21.7
EBITDA Margin (%)	15.6	13.5	13.7	13.7	14.3	14.8
EBIT Margin (%)	13.6	11.4	11.5	11.6	12.0	12.4
Payout ratio (%)	25.4	25.8	26.8	26.3	26.3	26.3
ROE (%)	21.4	16.3	15.9	15.2	16.7	17.9
Capex/sales (%)	0.0	0.0	0.0	0.0	0.0	0.0
Capex/depreciation (x)	0.0	0.0	0.0	0.0	0.0	0.0
Net debt/equity (%)	-21.3	-0.7	-11.1	-9.8	-11.1	-13.5
Net interest cover (x)	nm	246.9	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
Inovance	300124.SZ	61.36 (CNY) 28 Apr 2026	2

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

Important Disclosures Required by U.S. Regulators

Disclosures marked with an asterisk may also be required by at least one jurisdiction in addition to the United States. See Important Disclosures Required by Non-US Regulators and Explanatory Notes.

- Deutsche Bank and/or its affiliate(s) may act as a market maker or liquidity provider in the financial instruments issued by this company.

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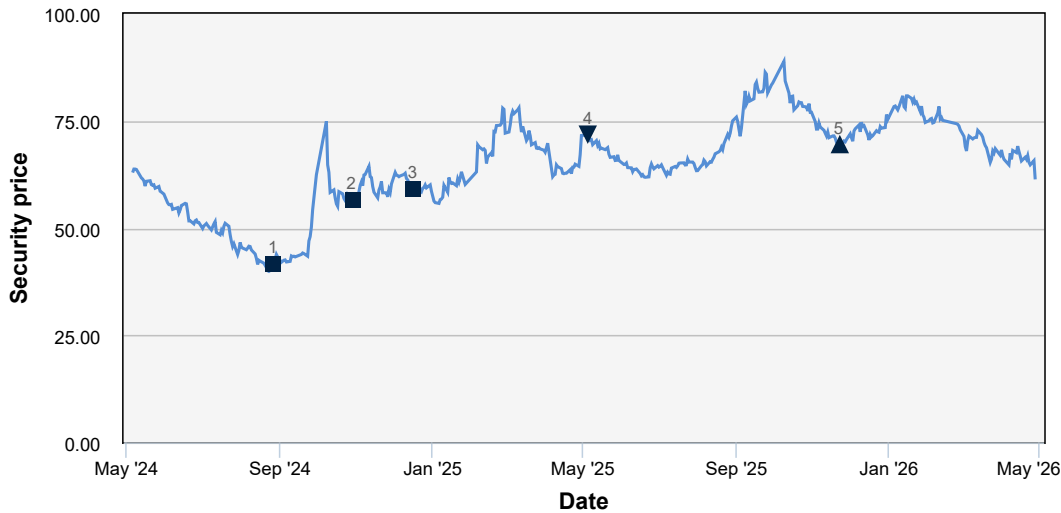
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Historical recommendations and target price: Inovance (300124.SZ)

(as of 04/28/2026)



Current Recommendations

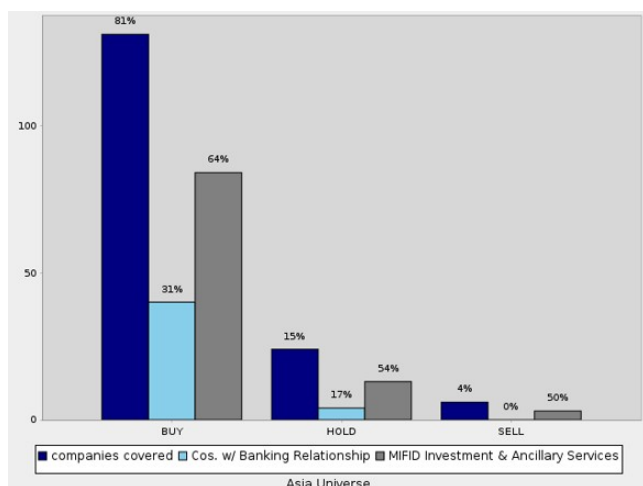
Buy
Hold
Sell
Not Rated
Suspended Rating

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1.	08/27/2024	Buy, Target Price Change CNY 60.00, Current Price CNY 41.70 Iris Zheng, CFA	4.	05/06/2025	Downgraded to Hold, Target Price Change CNY 80.00, Current Price CNY 71.79 Iris Zheng, CFA
2.	10/29/2024	Buy, Target Price Change CNY 67.40, Current Price CNY 56.46 Iris Zheng, CFA	5.	11/23/2025	Upgraded to Buy, Target Price Change CNY 83.90, Current Price CNY 69.60 Iris Zheng, CFA
3.	12/17/2024	Buy, Target Price Change CNY 75.70, Current Price CNY 59.22 Iris Zheng, CFA			



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

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Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

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